

easing. As the crisis erupted, major central banks intervened to fix the broken financial markets by starting *quantitative easing* (QE). They committed to issuing liquidity by purchasing assets (including toxic) from banks and nonbanks, at a time when banks stopped lending to each other, households and firms were credit squeezed, and policy rates were running against the zero lower bound. When the crisis spilled over to the real sector, the objective of QE in some countries shifted from financial markets repair to revamping economic activity (“a step into the dark”, as Raghuram *Rajan*, former Governor of RBI dubbed it). In the US, UK, and Japan, QE turned at stimulating demand by lowering the cost of money and by raising inflation expectations (Bank of England 2011).

The global financial crisis has made monetary policy the first line of defence to stimulate developed economies like USA through measures such as quantitative easing and other unconventional tools, since the policy rate was already zero or close to zero. It has raised the issue of redefining the role of central banks like never before and has led to a debate on widening the mandates of central banks in respect of:

- i) price stability and financial stability,
- ii) sovereign debt management,
- iii) management of capital
- iv) flows, liquidity management,
- v) communication with the public, etc.

It has also raised the issue of governance of central banks, their independence and accountability. The global financial crisis also revealed the need for further improving the co-ordination between the central banks and the governments, since they have become increasingly dependent on each other even at an international level. In this context, the G-20 has emerged as an important forum so that the regulatory response is well coordinated internationally to ensure that the new regulatory framework is effective and globally implemented and the follies of the past that led to the financial crisis are not repeated.

In the aftermath of the global financial crisis, financial stability has truly come to the centre stage. The term “financial stability” is usually interpreted conceptually as a persistent state of robust functioning of various financial system components — markets, institutions, market infrastructure — endowing the system to face any endogenous or exogenous financial shock with minimal disruptive impact. The lesson from the crisis is that financial stability is a necessary, though not sufficient, condition for the central bank to deliver on its mandate. Pre-crisis regulation focused more on stability of individual institutions, whereas, the crisis underscored the importance of focusing on systemic stability. In that context, *macro-prudential policies* refer to the use of prudential tools with the explicit objective of promoting the

stability of the financial system as a whole, not necessarily of the individual institutions within it.

After the crisis, the interest on central bank balance sheets has increased. During the crisis and in its aftermath, central bankers everywhere realised that proper communication of their policy is as important as its content. It has now become standard practice for central banks to indicate the policy rates, the rationale behind the policy action, expected outcomes and often provide forward guidance on their future policy actions. The growing consensus after the crisis is that central banks need to also guard against the development of financial imbalances and should not be too narrowly focused on “inflation targeting”. The crisis has also demonstrated the difficulties of conducting monetary policy in a globalised world. In India too, RBI’s communication has become more transparent in recent monetary policies.

Check Your Progress 2

- 1) What are conventional instruments?

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- 2) What was the need for adopting unconventional instruments?

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- 3) What are the main policy tools of unconventional measures?

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- 4) Make a brief comparison of conventional and unconventional instruments. What is transmission mechanism?

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- 5) What issues have been raised by the global financial crisis which redefine the role of central banks?

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7.5 RBI'S MONETARY POLICY TARGET: INFLATION TARGETING (IT)

Until recently, India's central bank used to take its monetary policy decisions based on the multiple indicator approach. Its rate decisions were expected to take into account inflation, growth, employment, banking stability and the need for a stable exchange rate. A certain amount of target flexibility and balancing of conflicting objectives are unavoidable.

Inflation targeting is a monetary policy strategy used by Central Banks for maintaining price level at a certain level or within a range. It indicates the primacy of price stability as the key objective of monetary policy. The argument for price stability stems from the fact that rising prices create uncertainties in decision making, adversely affecting savings and encouraging speculative investments. On the recommendation of an Expert Committee under *Urijit Patel*, RBI abandoned the '*multiple indicator*' approach and made inflation targeting the primary objective of its monetary policy. It also mooted having an MPC so that these decisions could be made through majority vote. Having both Government and RBI members on the MPC was suggested for accountability. The Government would have to keep its deficit under check and RBI would owe an explanation for runaway inflation. Monetary policy decisions by central banks can have far-reaching implications for the economy, investors, savers and borrowers. And if seen to be taken by an individual, these decisions can cause a lot of heartburn. Therefore, globally many governments have solved this problem by appointing a committee.

India adopted an inflation target of 4 per cent with a range of ± 2 per cent for next five years under the monetary policy framework. The range accommodates data limitations, projection errors, short-run supply gaps and instability in agriculture production, an important factor for CPI inflation. Food articles account for a major weight in the indices. . When the Reserve Bank of India fails to meet the inflation target, it will send a report to the central government stating reasons and remedial actions that will be taken. A breach of the "*tolerance level*" for three consecutive quarters will constitute a failure of monetary policy.

Inflation targeting (IT) is an effective monetary policy, which provides a better nominal anchor for monetary policy and inflation expectations. Inflation targeting enables the central banks to set long-run inflation objective. Some of the most significant empirical benefits of inflation targeting are:

- i) Increasing accountability and monetary policy transparency.
- ii) Taking care of time inconsistency. Time inconsistency impels the authorities in considering long term consequences of short-term actions.

- iii) IT helps in cutting down relative price variability and inflation expectations.
- iv) IT facilitates in predicting inflation.
- v) IT has the ability to lower the inflation - forecast errors.
- vi) IT has the ability to maintain price stability and prevent one-time shocks to inflation.

Statutory backing and institutional set up for decision making: Conduct of Monetary Policy under IT, on June 27, 2016, the Government amended the RBI Act to hand over the job of monetary policy-making in India to a newly constituted Monetary Policy Committee (MPC). The new MPC a six-member panel that is expected to bring “*value and transparency*” to rate-setting decisions. It has three members from the RBI — the Governor, a Deputy Governor and another official — and three independent members to be selected by the Government. The MPC meets four times a year to decide on monetary policy by a majority vote. And if there’s a tie between the ‘Ayes’ and the ‘Nays’, the RBI governor gets the deciding vote.

The MPC ensure that decisions on interest rates are made through debate by a panel of experts. The many-heads-are-better-than-one approach also help ensure that the decision isn’t easily influenced by bias or lobbying. India’s shift to an MPC, driven by a clear inflation-targeting framework, may ensure that consumers and investors can look forward to lower inflation rates over the long-term. There are several important lessons from the change in Indian inflation dynamics over the past few years:

- i) As inflation expectations stabilize, it makes sense for the RBI to look past sudden shock to core inflation such as the price impact of the move to the goods and services tax (GST). The case of food or fuel price shocks is more complicated, but monetary policy need not hastily respond to temporary price shocks, either by increasing or slashing interest rates.
- ii) Policy makers should be giving greater weightage to core inflation than before, not just in policy discussions but also in forecasting models. The RBI’s own inflation forecasting model — the Forecasting and Policy Analysis System — has parted ways with standard central bank forecasting models by taking a disaggregated look at food, fuel and core inflation.
- iii) There are two equal halves of the economy — a food sector with flexible prices and a non-food sector with sticky prices. Managing the two with a common monetary policy is a tricky job. Even the motivations of the people in these two sectors are different. Producers in the non-farm economy look ahead to make their decisions while producers in the farm economy look back (think of the cobweb model).

IT demands a number of pre-conditions for its successful implementation such as independence of central banks, well developed financial markets, flexible exchange rate, etc. Most emerging economies, including India, lack these conditions. Besides, RBI has objectives to take care of other parameters like economic growth, stable exchange rate and financial stability, and cannot restrict itself to the single objective of inflation.

7.6 INSTRUMENTS BEING USED BY RBI FOR ACHIEVING THE TARGETS

The *Reserve Bank of India* (RBI) uses the monetary policy to manage liquidity or money supply in a manner that balances inflation and at the same time aids growth.

A) *Quantitative Instruments or General Tools*

The Quantitative Instruments are also known as the General Tools of monetary policy. These tools are related to the Quantity or Volume of the money. The Quantitative Tools of credit control are also called as General Tools for credit control. They are designed to regulate or control the total volume of bank credit in the economy. These tools are indirect in nature and are employed for influencing the quantity of credit in the country. The general tool of credit control comprises:

- i) Bank rate.
- ii) Repo rate.
- iii) Reverse repo rate.
- iv) Cash Reverse Ratio (CRR).
- v) Statutory liquidity Ratio (SLR).
- vi) Open Market Operations (OMO).

B) *Qualitative Instruments or Selective Tools*

In addition to these measures, RBI also uses many qualitative tools to regulate credit flow and cost of credit to the economy and specific sectors within it. The qualitative instruments are also known as the selective tools of monetary policy. They are used for discriminating between different uses of credit. It can be discrimination favouring export over import or essential over non-essential credit supply. This method can have influence over the lender and borrower of the credit:

- i) Fixing Margin Requirements
- ii) Consumer Credit Regulation
- iii) Publicity
- iv) Credit Rationing

- v) Moral Suasion
- vi) Control Through Directives
- vii) Direct Action

The key challenge before the monetary management in the contemporary context is to modulate liquidity conditions in the financial markets consistent not only with the macroeconomic objectives but also with the market outcomes. There are now an array of monetary policy instruments. The shifts in the monetary policy transmission channels as a result of financial liberalisation necessitate policy impulses through both quantum and rate channels. The experience of sudden switches in capital flows has emphasised the need for swift policy reactions with a view to balancing the domestic and external sources of monetisation to maintain orderly conditions in the financial markets ensure price stability. As the price of the bulk of primary liquidity is now, more or less, market-determined, the Bank Rate now essentially acts as a signal of the Reserve Bank's medium-term monetary policy stance.

7.6.1 Liquidity Adjustment Facility (LAF)

In June 2000, the *Liquidity Adjustment Facility* (LAF) was adopted, which is increasingly emerging as the principal operative instrument of monetary policy, allows the Reserve Bank to manage market liquidity on a daily basis and at the same time, transmit interest rate signals to the market. The Reserve Bank is, thus, now able to manage liquidity through a market oriented mix of open market (including repo) operations reinforced by interest rate signals through changes in the Bank Rate and the repo rates, in addition to the traditional tools of changes in reserve requirements and refinance facilities. While the changes in the Bank Rate signal the medium-term perspective of the central bank, the changes in the LAF rates signal shifts in the day-to-day liquidity management.

As the primary instrument of monetary policy, the LAF has to mediate between the several objectives of the Reserve Bank's monetary policy. The quantum of absorption (injection) of liquidity and the price have to be determined bearing in mind not only the day-to-day liquidity position in the financial markets, including the foreign exchange markets but also the medium-term impact on price stability and growth. The multiple objectives pursued by the Reserve Bank along with the changes in the operating environment on account of technological advances pose a number of challenges. An important issue is the ability of the Reserve Bank to manage capital flows.

Fiscal dominance continues to be the critical issue in monetary management. In the past, the growing fiscal deficit and its monetisation by the Reserve Bank of India raised important issues regarding the relative roles of fiscal policy and monetary policy. However, the discontinuation of quantitative easing of as a policy option to fund government debt and the advent of the

Fiscal Responsibility and Budget Management Act (FRBM) is phasing out monetisation of the fiscal deficit. It is, thus, necessary to emphasize that monetary management, however deft, and monetary-fiscal co-ordination, however seamless, cannot, in the ultimate sense, be a substitute for fiscal discipline.

7.7 EFFECTIVENESS OF RBI'S POLICY INSTRUMENTS

The use of monetary instruments in India has undergone a shift from direct to indirect instruments. The process has been facilitated by reforms in the monetary and financial system. The increasing openness of the economy and a market-determined exchange rate mean that the focus of policy should increasingly be to ensure an orderly movement in exchange and interest rates. There is growing evidence of a strengthening of the interest rate channel of the monetary transmission mechanism, which would imply that interest rates could be used as effective targets of monetary policy. Although the Reserve Bank has been relying on broad money targets as a guide for conducting monetary policy, the focus of short-term monetary management in recent times has thus been on interest rates and the exchange rate. In the light of the emerging dynamics a multi-indicator approach, with movements not only in the money supply but also in a host of economic variables being tracked for policy purposes.

The objectives, instruments and mechanism of operation of monetary policy in India as well as elsewhere have been undergoing relentless change *pari passu* the changing structure of their respective economies. One needs to judge RBI in terms of current market practices and existing milieu of the economy under consideration, as well as in terms of analytical foundations. There is widespread agreement that the record of the Reserve Bank in monetary management has been, on balance, satisfactory. The degree of credibility that the Reserve Bank has earned over time is in itself likely to be an effective instrument of monetary policy in meeting the challenges of the future.

Experience of inflation targeting: Flexible inflation targeting seems to have scored some important early victories in India. The stabilisation of inflation expectations as well as the growing credibility of monetary policy means that monetary policy need not respond frantically to every unexpected shift in price levels. With the elapse of sometime, unfortunately, the results seem skewed towards the debit side of the ledger. RBI has consistently over-estimated inflation. Given that at the core of IT is an estimate, or forecast, of inflation — a consistent overestimate of this key variable has meant that RBI's interest rate stance has been biased towards the hawkish end. That has meant India has consistently run very high real interest rates for the major part of the last few years. While the impact of high real rates on private investment is nebulous with very little empirical evidence, it has certainly meant lower fiscal space for the government.

Check Your Progress 3

1) What targets RBI follows in its monetary policy?

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2) Indicate the instruments being used by RBI.

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3) Distinguish between quantitative and qualitative instruments of monetary policy.

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4) Discuss the effectiveness of monetary policy in achieving its objectives.

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7.8 LET US SUM UP

- Over the two decades preceding the 2008 global financial crisis, a broad consensus had emerged that price stability – a low and stable inflation rate – should be the main, if not exclusive, goal of central banks.
- Central banks are normally mandated to achieve certain goals such as price stability, high growth, low unemployment etc. But central banks do not directly control these variables. Rather they have set of instrument which they can use to achieve these objectives.
- The importance assigned to targets *vis-a-vis* objectives in the design of the monetary policy strategy is particularly critical because a mere achievement of targets while missing the objective could erode the credibility of monetary policy.
- The effectiveness of central bank policies has to be assessed in the context of the uncertainties against which the policies are implemented.

- The significant change is the adoption of unconventional monetary policies. The conventional monetary policy instrument is the central bank's control of the interest rate on risk-free nominal bonds. Unconventional monetary policy is then defined as a residual category: any other type of intervention by the central bank that does not depend for its operation on changing the risk-free nominal interest rate now or in the future.
- Unconventional monetary policy instruments include balance-sheet policies, comprising various types of quantitative easing and credit easing policies. Unconventional policy also includes emergency lending programmes and subsidized access to credit more generally.
- The unconventional instruments of monetary policy also include newer 'macro-prudential' policies, which place additional restrictions on access to credit above and beyond the interest rate charged.
- Macro-prudential measures need to be coordinated with monetary and fiscal policies.
- Vulnerability to external shocks with widespread effects on the domestic financial system brings to the fore the usefulness of macro-prudential instruments.
- It is important to keep in mind that macro-prudential policies should not be seen as substitutes for monetary and fiscal discipline – in particular, they should not be used to offset the harmful effects of unsustainable macroeconomic policies.
- When India adopted IT in the second half of 2016, it was supposed to be a case of "*catching up with the modern Joneses*". It was deemed to be a cutting-edge framework, providing conceptual clarity to monetary policy-making, as well as legal cover ensuring the independence of the RBI in conduct of the same.
- The RBI and Government of India signed a Monetary Policy Framework Agreement on 20th February 2015. As per terms of the agreement, the objective of monetary policy framework would be primarily to maintain price stability, while keeping in mind the objective of growth.
- The monetary policy framework would be operated by the RBI. RBI would aim to contain consumer price inflation within 6 per cent by January 2016 and within 4 per cent with a band of (+/-) 2 percent for all subsequent years. RBI has been using headline CPI